MGT 202

SMALL BUSINESS MANAGEMENT

CLASS 1

The Entrepreneurial Life

Longenecker, Chapter 1 • Botswana Context

Ms G N Setlhoko

Welcome to MGT 202

Small Business Management

- Today we begin with a simple question:
- Why does entrepreneurship matter to Botswana?
- What makes a business opportunity different from simply owning a small business?
- What does it take to live the entrepreneurial life?

Learning Outcomes

By the end of Class 1, you should be able to:

- Explain why small business and entrepreneurship are important to Botswana and society.
- Distinguish between a small business and an entrepreneurial opportunity.
- Describe key characteristics of entrepreneurs.
- Explain major motivations for owning a business.
- Identify competitive advantages of small entrepreneurial firms.
- Explain the idea of an entrepreneurial legacy.

Start With Botswana

Entrepreneurship is bigger than starting a business

Employment

Businesses create jobs and livelihoods.

Diversification

New enterprises can broaden Botswana's economic base.

Innovation

Entrepreneurs identify problems and create solutions.

Citizen Participation

Entrepreneurship enables people to become producers, owners and employers.

Value Creation

Successful businesses create value for customers, owners and communities.

A Critical Thinking Point

Do not copy statistics from another country

Longenecker's chapter contains South African examples and statistics.

Those figures should not automatically be presented as Botswana statistics.

As managers, we must ask: What is the source? Is it current? Does it apply to Botswana?

Good entrepreneurship requires the same discipline: test assumptions before acting.

Manager's Rule

Evidence first. Assumptions must be tested.

Small Business: What Is It?

- A business that is relatively small compared with the largest firms in its industry.
- Operations are often geographically localised.
- Financing is usually provided by a limited number of individuals.
- It may begin with one person but can grow beyond a one-person operation.
- Examples: small bakery, catering business, poultry farm, salon, consultancy, online retailer.

Small Business ≠ Entrepreneurial Opportunity

The distinction matters

SMALL BUSINESS

Describes the nature/size of the business.

Example: A small takeaway selling chicken and chips.

ENTREPRENEURIAL OPPORTUNITY

- An economically attractive and timely opportunity that creates value for customers and owners.

Example:

- A convenient, affordable meal service designed around UB student needs.

Key question

Is the business merely small — or is it pursuing an attractive opportunity?

From Problem to Opportunity

1. Identify a problem or unmet need.
2. Identify who experiences the problem.
3. Develop a solution.
4. Determine whether customers value the solution.
5. Determine whether they are willing to pay.
6. Build a business model that can create value sustainably.

Three Types of Small Firms

Think about the owner's goals and the firm's growth potential

High-Potential Venture

Designed for substantial growth.

Example: A Botswana technology business that can scale across SADC.

Attractive Small Firm

Provides substantial financial rewards while remaining relatively small.

Examples: specialist consultancy, premium catering or professional services.

Micro / Lifestyle Business

Provides modest returns while supporting the owner's preferred lifestyle.

Examples: home bakery, salon, freelance service.

High-Potential Venture

Example



Entrepreneurial Qualities

Big ego is not required

- Commitment and determination
- Leadership
- Opportunity obsession
- Tolerance of risk, ambiguity and uncertainty
- Creativity, self-reliance and adaptability
- Motivation to excel

Risk-Taking ≠ Gambling

Entrepreneurs take calculated risks

- **Gambling:** committing resources without understanding the odds or the downside.
- **Entrepreneurship:** gathering information, testing assumptions, managing exposure and adapting.
- **Ask before acting:** What can go wrong? How likely is it? What can I do about it?
- A good entrepreneur is not fearless - they learn to manage uncertainty.

Why Do People Own Businesses?

Personal Fulfilment

Making a difference to customers, employees and communities.

Personal Satisfaction

Passion, challenge, achievement and recognition.

Independence

Being your own boss and having greater control over your future.

Financial Rewards

Creating wealth through sound decisions and hard work.

Your Motivation

What would drive you to start a business?

A - Financial rewards

B - Independence

C - Passion / personal satisfaction

D - Making a difference

E - A combination of these

Discuss

Can one motivation become dangerous if taken to an extreme?

The Entrepreneur's Competitive Edge

Five potential strengths of small entrepreneurial firms

- **Integrity and responsibility -** build trust and reputation.
- **Customer focus -** customers closely.
- **Quality performance** - does not mean low quality.
- **Innovation** - adapt and experiment quickly.
- **Niche markets -** serve a specific customer group exceptionally well.

Botswana Business Challenge

How can a small business compete with a large organisation?

- Large firms may have more money, people, systems and market power.
- Small firms can compete through closeness to customers.
- They can often make decisions faster.
- They can adapt products and services faster.
- They can focus on a niche that is too small for a large firm to prioritise.

Think about it

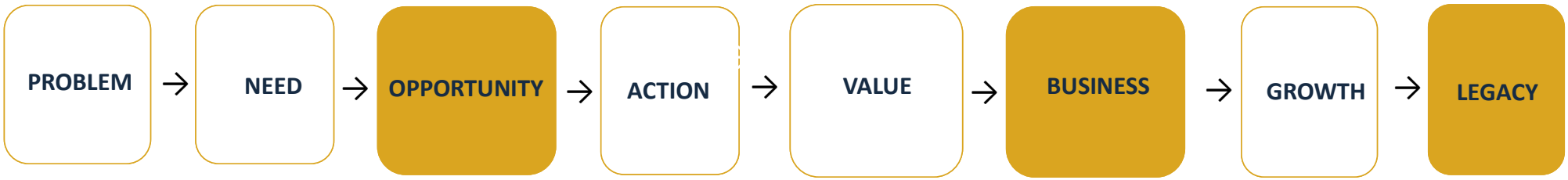
What advantage does a small Botswana business have that a large corporation may struggle to copy?

Entrepreneurial Legacy

What will you leave behind?

- Financial resources and business assets
- Jobs and people whose lives were improved
- Customers and communities served
- Knowledge, systems and opportunities created
- A reputation for integrity — or the opposite
- An example for the next generation

THE ENTREPRENEURIAL LIFE



Entrepreneurship begins when we turn a meaningful problem into a value-creating opportunity.

Class Activity: Spot an Opportunity in Botswana

Identify ONE problem or unmet need you see in Botswana.

Who experiences the problem?

What causes the problem?

What solution could a business provide?

Who would pay for the solution?

Why might the opportunity be attractive?

3-minute task

Be specific. Do not give a general idea — identify a problem first.

Class Discussion

Share your opportunity

- What is the problem?
- Who is the customer?
- What is the proposed solution?
- What value is created?
- What could stop the idea from succeeding?

Class 1 Recap

Five ideas to remember

1. Small businesses are important to Botswana's economic and social development.
2. A small business and an entrepreneurial opportunity are not the same thing.
3. Entrepreneurs pursue opportunities and create value while managing risk.
4. Entrepreneurs can compete through integrity, customer focus, quality, innovation and niche markets.
5. Think beyond starting a business: think about the legacy you want to create.

EXIT QUESTION

What is ONE problem in Botswana that you believe could become a viable entrepreneurial opportunity?

Problem • Customer • Solution • Value

Next Class

Topic 2: Integrity and Ethics — Foundations for Success in Small Business

What is integrity?

How does integrity affect customers, employees, suppliers and owners?

What are the benefits and challenges of acting with integrity?

How can a small business build integrity into everyday operations?